Product taxes are paid and product subsidies are received per unit of product. Some examples are:

Product Taxes: Excise duty, Sales tax, Service tax and Import and Export duties

Product Subsidies: Food, petroleum and fertiliser subsidies, interest subsidies given to farmers, households etc. through banks, subsidies for providing insurance to households at lower rates

It is necessary to have a clear idea about 'resident units'. The concept of residence in the SNA is not based on nationality or legal criteria. If an institutional unit has a centre of predominant economic interest in the economic territory of a country it is said to be a **resident unit** of that country; that is, when it engages for an extended period of one year or more in economic activities on its territory.

Box 2.2. Institutional sectors

Institutional units having similar principal functions, behaviour and objectives are grouped together and called **institutional sectors**. As per SNA there are five institutional sectors. They are explained below:

a. *Non-financial corporations* are institutional units that are principally engaged in the production of market goods and non-financial services.

b. *Financial corporations* are institutional units that are principally engaged in financial services including financial intermediation.

c. *General government* consists of institutional units that, in addition to fulfilling their political responsibilities and their role of economic regulation, produce services (and possibly goods) for individual or collective consumption mainly on a non-market basis and redistribute income and wealth.